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Yale Program on Financial Stability

Lessons Learned

Calvin Mitchell III

By Mercedes Cardona

Calvin Mitchell III served as executive vice president of the communications group within the executive office of the Federal Reserve Bank of New York (FRBNY) during the Global Financial Crisis. In 2008, Mitchell was tapped by Timothy Geithner, who was then FRBNY president, to head a new group charged with expanding the communications and community affairs functions. Mitchell left the FRBNY in 2009 for the private sector and returned to government in 2021 as assistant secretary for public affairs in the US Treasury Department. This Lesson Learned is based on an interview with Mitchell held on July 22, 2021; the full transcript can be accessed [here](#).

The communications team must have a seat at the table: It is an integral part of the crisis-fighting apparatus.

Mitchell gives credit to Tim Geithner, first as president of the FRBNY and later as treasury secretary, for making communications a priority during the crisis and emphasizing transparency. Geithner, said Mitchell, along with Federal Reserve Chairman Ben Bernanke, and Treasury Secretary Henry M. Paulson, Jr., all understood that good communication was important, not just to the markets, but to the millions of American citizens investing in the markets directly or through their retirement funds.

Mitchell was included in nearly all the FRBNY's management team meetings to develop the agency's response to the crisis. This helped him better understand the range of the FRBNY's powers, granted by the Federal Reserve Act, in the context of a crisis. His presence at the table signaled to FRBNY colleagues that they should communicate and cooperate with his team. As a result, Mitchell said, he was able to work quickly to fashion a communications response and to update a communications plan, whatever was needed at the time.

If there was any success around the communications at the Fed, I think it was due partially to the strong, trusted relationship I had with Tim Geithner. I was a part of most of his meetings, that he could trust me to be in those calls. There were times we could speak in shorthand about what was going to happen. I could just give him a little bit and he'd check and say "Yes." And then I could come back with: "This is the plan." It also helped for briefing him in order to speak with journalists or a phone call with a columnist, or spend some time with some other person who was going to write an op-ed piece. Building that trust, not only with your colleagues around your institution, but building that ultimate trust relationship with your principal is really essential.

Building relationships with your counterparts in other agencies before the crisis will facilitate the crisis-fighting effort.

Leading the FRBNY's communications group, Mitchell had a limited knowledge of the inner workings of Congress, but help from contacts within Treasury and the White House filled in

the gaps. Forming those relationships should be part of the continuing work of the communications staff, Mitchell explained. He had long-standing relationships with the heads of communications at the Treasury Department, the Federal Reserve Board, and the other Federal Reserve Banks that served him well during the crisis. And as the crisis progressed, Mitchell established more interagency contacts, at the Securities and Exchange Commission, the Office of the Comptroller of the Currency, and elsewhere.

Those were years and years in the making, building those relationships, but they came in quite handy, building those relationships early with important stakeholders, as well as with media, was a very positive and successful aspect of our strategy.

Understanding the timing of the market and what journalists needed fed into our discussions: "Well, I need to put something out before the markets in Japan opened, for journalists to understand what that meant, what we were going to say and what it meant." People understood that intuitively, but they also had come to trust us in communications. Those kinds of relationships and that kind of sense of transparency was essential. And I think we did that well.

A crisis presents an opportunity to educate affected stakeholders about the government's authorities and operations.

As the crisis evolved, many publications added staff to back up their Fed and Treasury reporters. Often, they were business reporters who were used to covering banks or other financial beats, but they were not as versed in the Fed's responsibilities and authority. Setting up background, off-the-record briefings to explain some of the inner workings of the Fed and its actions was helpful, said Mitchell. The information delivered may not turn into a story, but it helps inform the coverage.

Always assume that journalists know less than you think. They're not going to be insulted if you offer them a background briefing on something. They're not going to be insulted if you propose an educational setting on another issue. They're going to appreciate it, and it may add to what they already know. It may correct some of the misunderstandings they have. And you've done them a service, made them be better journalists in some cases, where they're not making assumptions based on something that they learned previously. It also builds a tighter relationship with the people that you're dealing with, the journalists. Even today, I talk to people who express gratitude for the amount of extra briefings and background that we provided for them during the crisis, that that was something that people hadn't done before at my institution and maybe at other institutions.

It is important to clarify what each agency can and can't do to help, said Mitchell. Many agencies lacked the authority by law to act in certain ways during the crisis, or were limited to oversight of only one portion of the financial system. The Fed acted to help banks because that was what it was charged to do, but its efforts may have led some to form the impression that the government was helping Wall Street at the expense of individuals.

There were a lot of people who even today don't know the rules and responsibilities of the Fed and what it can do. That became an issue for us later, as we began to deal with the aftermath of the Lehman Brothers bankruptcy and began to assist AIG: What rules, what authority did the Fed have? Because this was [a] crisis in the financial system that impacted American citizens across vast ways, people saw what the Fed was doing as in a way helping institutions and not individuals. The Fed can't lend to individuals. You see all this work being done for banks and the financial system, but very little being done for individuals, [and] I think that adds to the frustration and maybe kind of lopsided coverage. People think: "Oh, the Fed is saving banks, but they're not saving me." Or "They're saving these millionaires, but they're not saving me."

The best way around that is to relate the macroeconomic concepts to the local level, advised Mitchell. Showing how big ideas translate to the everyday lives of citizens helps to make them understandable.

Try to understand how to explain the story, not always at a 30,000-foot level, but how it impacts individual people. Every action by a bank is going to impact millions of homeowners, or it's going to impact credit card holders or those types of things. So not just understanding the policy and being able to speak about it at that high level, but what does it mean to pitch it to people? What does it mean to the individual Americans living here?

Dated: December 2024

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